SESSION 4 · RULE KEY AND COMPANION REFERENCE · 27 SEPTEMBER ROUND

ASK = count four, then answer it yourself. **Yellow** = the answer. **Black** = never dro

OPEN | COLD | §01 | §02 | §03 | §04 | §05 | BREAK | COLD RUN | §06 | §07 | D4 DEBATE | §09 | RESERVE | BUFFER, NOT SPARE

7:00 break · 7:32 run done · 7:55 D4 or cut · 8:25 close

BEFORE THE BREAK · TAB 1, CORE ONLY

6:00 1 · ZOOM
OPEN. "Setup questions at the break, not now."
Pre-class window closed at 5:58.

6:03 2 · ZOOM
CORRECTION. "The watermark does not identify your account."
Claude text carries a **statistical watermark** (announced **14 Aug 2026**) that names no user and adds no hidden characters [H]. Only bodies EU law names can check, for now.

6:06 3 · §00
OBJECTIVE. Read "Session 4's one thing."
Four stops: **In · Where · Check · Keep.** Non-advisors: "any recurring task at work."

6:08 4 · §00
BRIDGE. Three letters, said aloud, then click.
b · c · a Then **Zoom out**: the model inside four stops.

6:14 5 · COLD
POLL 1 **Which would you have sent? Test 1, Test 2.**
D 5 · C 4 · A 3 · B 1 D sinks. "Good and allowed are separate tests."

6:22 6 · §01
ASK **How many AI rules bind you? Guess, sort.**
Lanes **2 = 1-5 · 3 = 6-8 · 1 = 9** **0** "The duty has existed since 1940." **Page 2.**

6:29 7 · §02
GATE 1 **"Name gone. What still points to her?"**
job + town: nurse manager, Naperville "Reg S-P is the rule behind it." Copy to chat.

6:39 8 · §03
POLL 2 **Vendor, then plan A. Flip the switch.**
Claude **up to 5 yrs on · off 30 days** [M] "Same model, different contract." Open leaks **2** and **5**.

6:46 9 · §04
SIX LOCKS. C · Client file, consumer plan.
Lock 1 **No → Stop** Contract: vendor reports in **72 h**. A.14.

6:53 10 · §05
POLL 3 GATE 2 **"Better wording, or less access?"**
less access + approve each send Call: **(c)**, "I never called you." **Stop 7:00.**

AFTER THE BREAK · THE ROOM RUNS ONE THING

7:00 11 · ZOOM
BREAK. Post "back at 7:15 Pacific."
Their clock time, not yours.

7:15 12 · ZOOM
RELAY. "You run someone else's, not your own."
Next name down. Forward intact. Real data or none? **Sample package.**

7:20 13 · §08
COLD RUN, SILENT. "Eight minutes. Nobody talks."
CHAT "stopped at ... because ..." Show the gaps: **5** No fixes: Session 5. **Stop 7:32.**

7:32 14 · §06
ASK **Of 100 memos, how many carry a wrong answer?**
about 61 At 33%: **86**. Priced: **90 vs 39, saves 51**; 20 checks: saves 6.

7:39 15 · §07
GATE 3 **Record 3: "Could an examiner re-check it?"**
No: a summary repeats its error 1-4 B, 5-6 A. Record 6: "Complete is not correct."

7:46 16 · D4
POLL 4 **"Does the record cost more than the tool saves?"**
+ Standard. Minority first, 2 a side, 90 s. Min 11: **once per workflow**
41 · tips at 3 POLL 5

8:04 17 · §09
POLICY. Course data rule, read verbatim.
Rows **a b a b b a** Copy outline. 2 pages, bullets, 3 sources, 1 scholarly.

8:12 18 · ZOOM
RESERVE, 13 min. "What do you want to see?"
Budgeted, not leftover. Start from the cold-run chat.

8:25 19 · CHAT
CLOSING CHECK. CHAT **one task: In, Where, Check, Keep?**
Read three aloud. No "keep"? Say so, kindly; name §07. **Do not skip.**

SETUP AT 5:45
- **Tab 1** Session 4, Core only, at §00
- **Polls** 1 to 5 built · Poll 2 has the vendor
- **Pairing** drawn · packages screened for real data
- **Chat lines** break, cold run, closing · speaker labels on
- Read support.claude.com watermark page

CHECKPOINTS
- **7:00** through §05
- **7:32** cold run logged
- **7:55** D4 started, or cut it
- **8:25** closing check

AFTER
- Transcript, chat, polls: 24 h

DROP ORDER IF LATE
- 1 §04: read the six, no scoring
- 2 §07: gate on record 3 only
- 3 §06: 100 memos, no pricing
- 4 D4: vote, twist, re-vote
- 5 §03: plan and switch only

NEVER DROP
- Cold open · §02 · cold run · close

NOT TONIGHT
- D5, D6 (Foundational) · D1, D2 watermark depth
- Leaks 1, 3, 4, 6: theirs after class
- Fixing anyone's package: Session 5
- Vendor numbers, Claude's included, are **M**: say "as of their page"
- Any rule question you cannot answer from page 2: "I'll check it"

SESSION 4 · THE RULE KEY · §01'S NINE, IN SORTER ORDER

● binds ◐ a twin rule does the same job ○ no · **H / M / L** = how sure

No US securities rule was written for AI. Your registration decides which duties are yours; the CFP marks add CFP Board's Code on top.

RULE	PASSED · IN FORCE	WHAT IT DOES	RIA	BD	CFP	VENDOR	AI?	SAY IT · THE TRAP
LANE 2 · A DUTY YOU ALREADY HAVE · items 1 to 5 · binds you now, written before AI, reaches AI work unchanged								
1 Regulation S-P SEC · 17 CFR Part 248	**2000** · amended **May 2024** In force: **3 Dec 2025** ($1.5B+ RIAs), **3 Jun 2026** smaller: in force for all now [M]	Protect client NPI. Since 2024: a written **incident response program**, **clients told as soon as practicable, within 30 days** of awareness, vendor contracts that **report to the firm within 72 h**. No 24 h CCO clock.	●	●	◐	○	GENERAL	**"Pasting client data into a tool is a disclosure."** It needs a contract limiting the vendor's use; a consumer plan has none. TRAP "She is my client" is NPI by itself.
2 Fiduciary duty Advisers Act §206 · 15 USC 80b-6	**1940** · duty from *Capital Gains*, **1963** · SEC restated **2019** [H]	Duty of **care** (best interest, a reasonable basis, monitoring) and **loyalty**, for all advice.	●	◐	◐	○	GENERAL	**"The duty attaches to the advice, not the tool."** Unchecked AI output is advice with no reasonable basis. Twins: Reg BI (BD), A.1 (CFP).
3 FINRA Rule 3110 Supervision	In force **1 Dec 2014** [H]	A supervisory system and written procedures reasonably designed to catch violations.	◐	●	○	○	GENERAL	**"Your staff's AI work is still their work."** TRAP A binding rule, not guidance: the rule 24-09 points at. Advisers' twin: 206(4)-7, §203(e)(6).
4 FINRA Rule 2210 Communications with the public	In force **4 Feb 2013** · AI FAQs **May 2024** [M]	Fair, balanced, not misleading. **Retail** (25+ retail investors in 30 days): principal **pre-approves**. **Correspondence**: reviewed, kept.	◐	●	○	○	GENERAL	**"An AI-drafted email is a firm communication."** TRAP One client email is correspondence: no pre-approval. Advisers' twin: the Marketing Rule.
5 Books and records Advisers 204-2 · BDs 17a-4, FINRA 4511	204-2 since **1961** [M]	Keep what supports advice and business mail: **5 yrs** advisers, **3 yrs** BD mail, **6 yrs** FINRA default.	●	●	○	○	GENERAL	**"A prompt and output that support advice are records."** TRAP No rule names prompts yet. Say "treat as", not "the rule says".
LANE 3 · GUIDANCE OR A PROPOSAL · items 6 to 8 · names AI, binds nobody								
6 FINRA Notice 24-09 Regulatory Notice, generative AI	**27 Jun 2024** · still active, not rescinded [M]	Reminds member firms the existing rules apply to generative AI. **No new requirement.**	○	○	○	○	NAMES AI	**"No new requirement. The existing rules apply."** TRAP Naming AI does not make it binding. It is a signpost to rows 3 to 5.
7 SEC exam priorities FY2026, Division of Examinations, §VII	**17 Nov 2025** · states it has **"no legal force or effect"** [M]	What examiners test: AI claims, AI supervision, Reg S-P readiness, polymorphic malware.	○	○	○	○	NAMES AI	**"No duty. It tells you which duties get checked."** TRAP Not a rule; the rules under it bind. FY2027 not found as of 11 Oct 2026: check before class.
8 SEC analytics proposal Predictive data analytics, S7-12-23	Proposed **Jul 2023** · withdrawn **12 Jun 2025**, with 13 others [M]	Would have made firms neutralise conflicts in AI tools used with investors.	○	○	○	○	NAMES AI	**"The one US proposal that would have named the technology. Withdrawn: binds nobody."**
LANE 1 · A RULE WRITTEN FOR AI · item 9 · names AI, binds someone, not you								
9 EU AI Act, Art. 50 Regulation (EU) 2024/1689	In force **Aug 2024** · Art. 50 **2 Aug 2026**; older tools **2 Dec 2026** [M]	AI providers mark AI output machine-readably; deployers label deepfakes.	○	○	○	●	AI LAW	**"Binding law that names AI. Not a US securities rule."** It is why Claude marks its text. TRAP It binds Anthropic, not a US adviser with US clients.

WHO YOU ARE → YOUR ROWS

- **Rep of an SEC-registered adviser**: 1, 2, 5 + Marketing Rule, 206(4)-7
- **Rep of a broker-dealer**: 1, 3, 4, 5 + Reg BI for 2
- **Dual registrant**: 1 to 5
- **State-registered adviser**: 2, state records rules, FTC Safeguards Rule (not S-P)
- **CFP marks, any of these**: + Code A.1, A.9 privacy, A.14 technology
- **Non-advisors**: none by registration; the employer's policy

ALSO NAMED ON THE PAGE

- **CFP Board Code**, in force 1 Oct 2019. **A.14**: reasonable care selecting, using and recommending technology. Binds every CFP pro. General.
- **CFP GenAI Ethics Guide**, Feb 2025: pseudonyms, strip details before upload. Guidance.
- **AI-washing**, 18 Mar 2024: $225,000 and $175,000, Marketing Rule, AI claimed, not used [M].
- **Daly**, SEC, 3 Feb 2026: who answers for wrong AI output is "unsettled".

IF YOU ARE ASKED

- **"Does the vendor owe the 72 h?"** No, the firm does: the rule makes its policies require it [M].
- **"Are prompts records?"** Unresolved. FINRA's 2026 report suggests prompt and output logs [M]. Keep them.
- **"Is pre-approval going away?"** Proposed Jul 2026, Notice 26-14 [M]. Not adopted.
- **"Who can read Claude's mark?"** Bodies EU law names, and firms the Act obliges. Anthropic says it carries no identifying information [H].